Eaton

ETN | NYSE | 2026-10-07

Q4 2027 model ceiling: USD 388.70

Analytical Base 46/60 = 77 | High Conviction

20x forward-four-quarter modeled GAAP operating profit, less matched net financial and other claims, divided by average diluted shares across the same four quarters

Coverage initiated at the owner's request. No holding was established by this research. Existing portfolio Base overrides remain protected.

Snapshot: USD 445.09 on 2026-10-06 close. Model diluted shares at Q3 2026: 389.700m. Indicative diluted capitalization: USD 173,451.6m. Quote and share dates/bases may differ; legal shares are reconciled in the analysis.

All operating values are in USD m and shares in millions unless stated otherwise. Forecasts are analytical assumptions; issuer guidance and actual results are identified separately.

Decision in the model

Active horizon	Earnings window	F4Q OP	Multiple	Diluted shares	Ceiling
Q4 2027	Q4 2027 through Q3 2028	8,190.7	20x	382.700	388.70

The ceiling is a model valuation, not a guaranteed trading price or a literal net-income P/E. Operating branches are weighted once. Where debt, preferred claims, conversion or equity floors make value nonlinear, the model values each coherent operating and funding state first, then weights those common-share outcomes.

Economic scope and matching claims

Company operating profit and matching common-share claims. 20x forward-four-quarter modeled GAAP operating profit, less matched net financial and other claims, divided by average diluted shares across the same four quarters

Financial claims and diluted shares follow the company-specific schedule below. Debt, preferred and minority claims are counted once. All financial model tables use USD m unless a different unit is stated.

Thesis

Eaton has a credible route to grow revenue and earnings as customers install more power distribution, protection and cooling equipment. The investment case rests on qualified production and delivery, not a direct claim on every dollar of AI capital spending. Its growing electrical order book gives visibility; its acquisition debt and factory ramp costs determine how much value reaches ordinary shareholders. The analytical Base is 77, or High Conviction under the framework. This is a new coverage score, independent of the market price.

The valuation uses 20 times forward-four-quarter modeled GAAP operating profit, less matched net financial and other claims, divided by diluted shares over the same earnings period. The labeled quarter includes that quarter and the next three. This is a ceiling on the stated operating case, not an assurance that customers will accept equipment on schedule. No analyst price target or market-derived multiple is used.

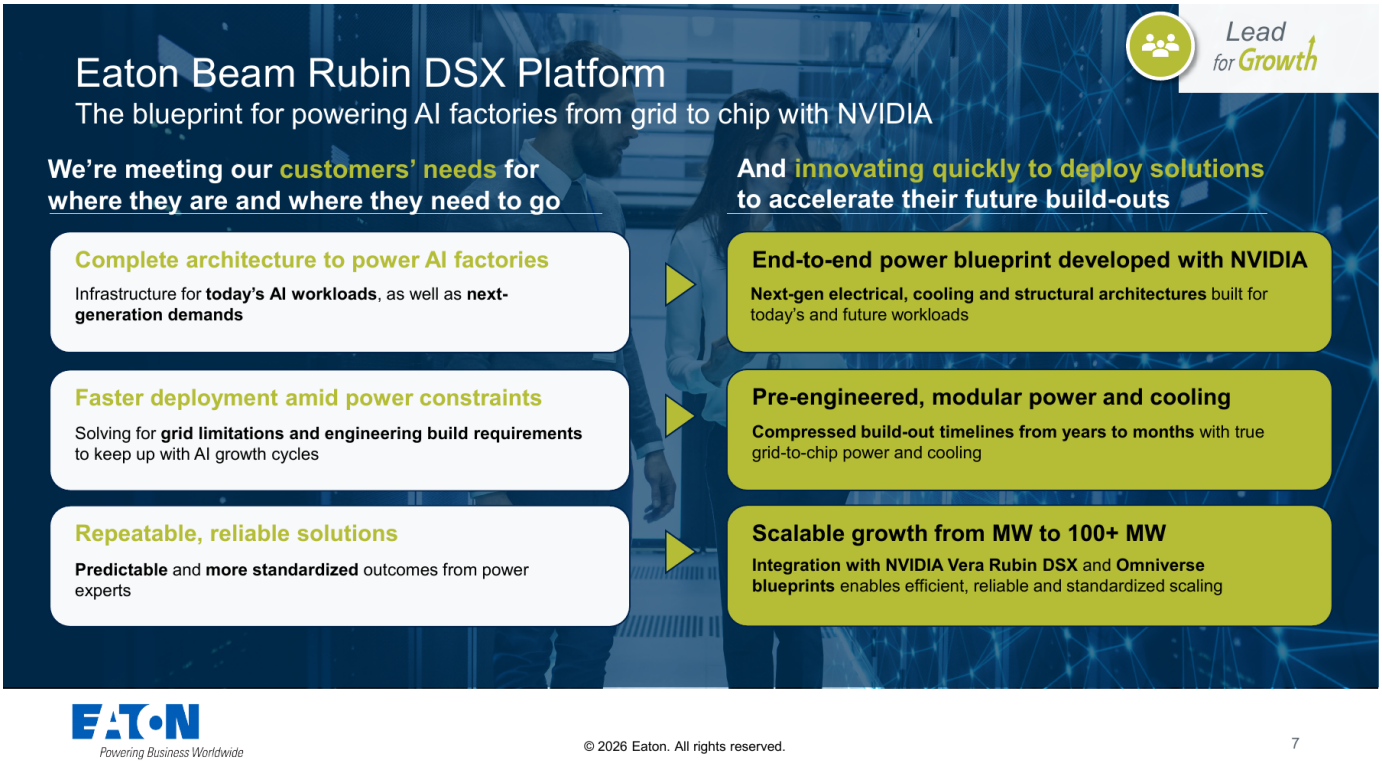
What Eaton sells and why customers qualify it

The Electrical Americas and Electrical Global businesses supply circuit protection, switchgear, power distribution assemblies, power-quality equipment, electrical services and related products. These products sit between utility power and the load. The reason a data center values a qualified supplier is practical: the equipment must interrupt faults safely, coordinate protection, meet the applicable certifications, fit the site's architecture and work when the facility is commissioned. A late or failed subsystem can hold up productive use of a much more expensive computing installation.

That creates a plausible cost-of-waiting advantage. A supplier able to deliver a tested system sooner can command a better commercial outcome on new orders. It does not follow that every existing contract can be repriced. Material, labor, freight and commissioning costs can also absorb a premium. The financial treatment therefore screens for repriceable orders and charges incremental costs before valuing earnings.

The original research candidate also included P Equity's October 2 commentary that customers were reserving equipment capacity for three years, versus less than a year previously. This is attributed evidence of delivery scarcity. The original quotation and the contracts' deposit, cancellation and escalation provisions have not been recovered, so reservations are not relabeled noncancelable backlog. The pricing branch gives the mechanism a nonzero probability while the issuer's own order data supports the underlying demand assessment. Attributed reservation commentary.

The March 2026 Beam Rubin DSX platform connects Eaton's modular power and cooling offering with NVIDIA's reference designs. It can simplify repeat deployment, but it is a technical and commercial positioning statement, not a booked hyperscaler purchase order. The August Eaton-Trane reference design also illustrates the trade-off: higher-voltage architecture may reduce customer copper use and installation cost while increasing integration value. More megawatts do not guarantee more low-voltage components per megawatt. Beam platform; Eaton-Trane design.



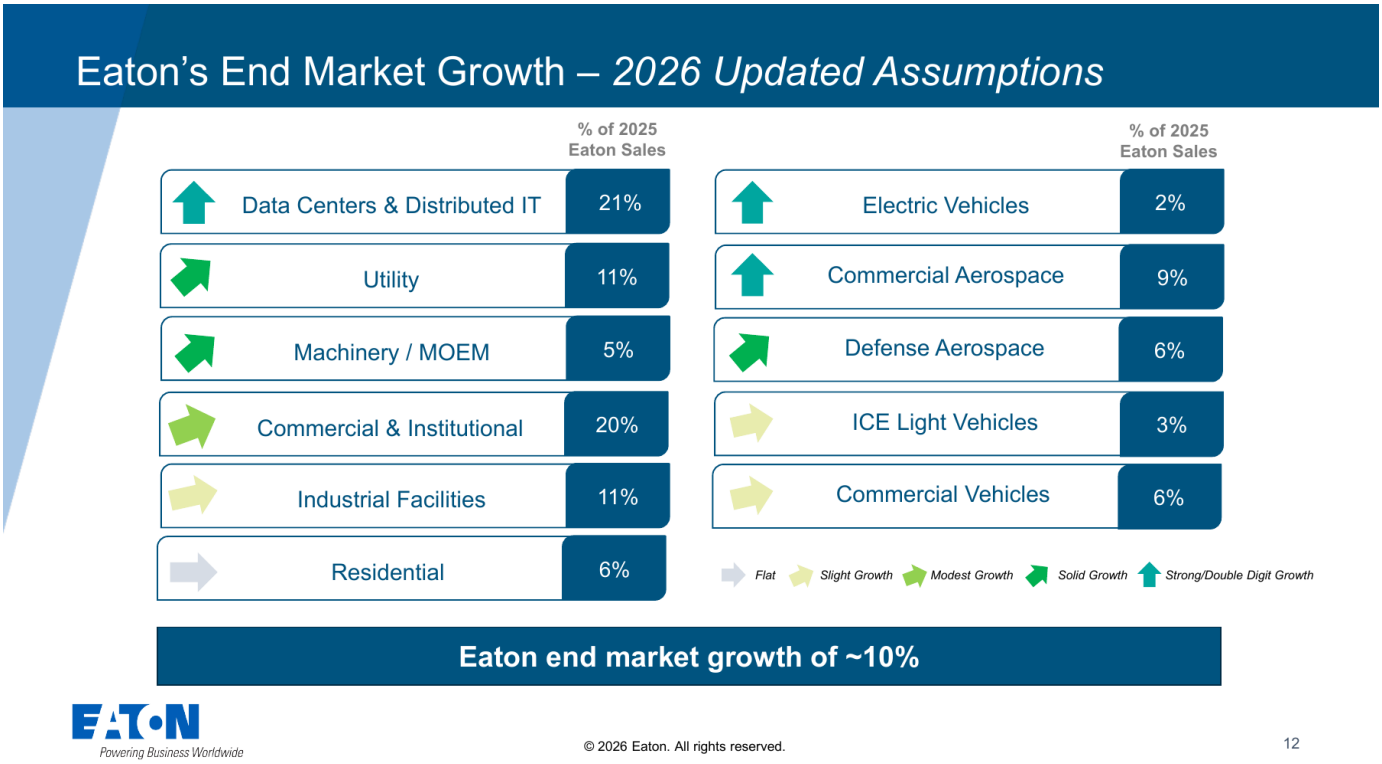
Eaton Q1 2026 earnings presentation | The Beam architecture links power, cooling and modular deployment. A reference design does not establish a guaranteed customer award.

A diversified business with a growing bottleneck share

Data centers and distributed IT represented 21% of Eaton's 2025 sales. That category includes more than AI, and the percentage precedes full consolidation of Boyd Thermal. Utilities represented 11%, commercial and institutional customers 20%, and aerospace 15%. Electrical scarcity is a growing contributor to a diversified company rather than its entire earnings base. The forecast separately models data-center electrical equipment, other electrical markets, Boyd, aerospace and Mobility.

Eaton's 2025 annual report says six large electrical customers represented 22% of electrical-sector sales. Three aircraft manufacturers represented 20% of aerospace sales, while no single customer exceeded 10% of total company sales. Customers and distributors can have overlapping exposure to the same final project, so diversification by billing entity is not complete demand diversification. The United States accounted for approximately 62% of 2025 revenue, with Europe about 18.5%. Regional construction, utility budgets, tariffs and currency all matter. These are geographic sales destinations, not a map of manufacturing capacity. 2025 annual report.

Eaton competes through system performance, technology, service and price. Qualification, an installed base and support capabilities are meaningful advantages. They do not constitute an exclusive patent monopoly: the filing explicitly says no single intellectual-property right is critical to the whole company. Customers can dual-source or redesign over time, and competitors can add capacity. The durable question is whether Eaton's qualified throughput and engineering service improve faster than these responses.



Eaton Q2 2026 earnings presentation | Data centers/distributed IT represented 21% of 2025 company sales; this is neither all AI nor a 2026 sales mix.

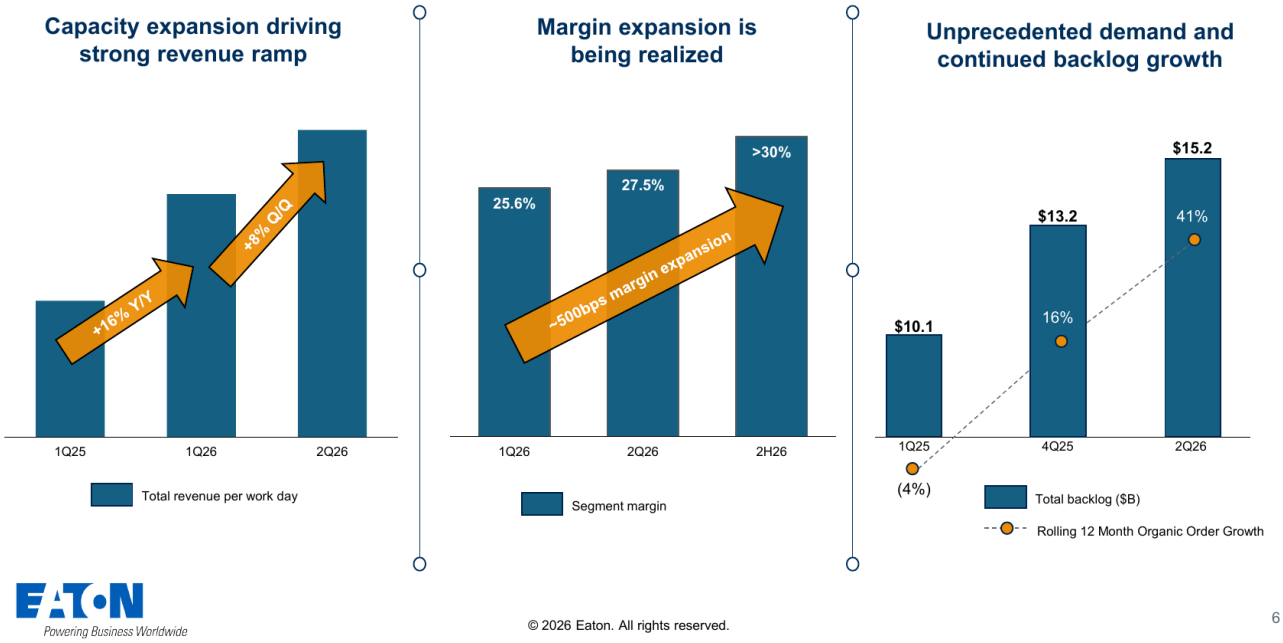
Backlog must become accepted equipment

The July earnings release is a strong demand anchor. Electrical Americas rolling twelve-month organic orders increased 41%; its backlog reached $15.2 billion and rose 33% year over year. Electrical Global orders increased 33% and backlog 103%, although its reported business now includes Boyd. Q2 electrical-sector data-center orders increased approximately 85%, compared with revenue growth of approximately 65%. Neither figure should be extrapolated indefinitely or treated as annual company revenue growth.

The capacity response is real. The Nebraska switchgear project is expected to begin production in the first half of 2027. Eaton's September Arkansas announcement describes more than $242 million of investment and an intended doubling of Fibrebond's U.S. manufacturing capacity. The October Austria expansion adds automated miniature-circuit-breaker production and low-voltage assembly. These are different products, geographies and qualification processes. The Arkansas release does not establish a precise first customer-acceptance date, and a relocated production line is not entirely incremental capacity. Nebraska expansion; Arkansas expansion; Austria expansion.

The reference forecast incorporates these general capacity plans. Giving them an additional volume uplift would count the same delivery improvement twice. A 70% execution assessment supports the reference path, while an explicit 20% delivery-delay branch captures the possibility that construction, power connection or manufacturing pushes some revenue out. That branch exposes 25% of 2027 data-center electrical and Boyd revenue to a 10% delay, with half recovered in 2028. Its 50% decremental operating margin reflects fixed capacity costs after limited variable-cost savings.

Electrical Americas: KPIs underscore execution momentum



Powering Business Worldwide

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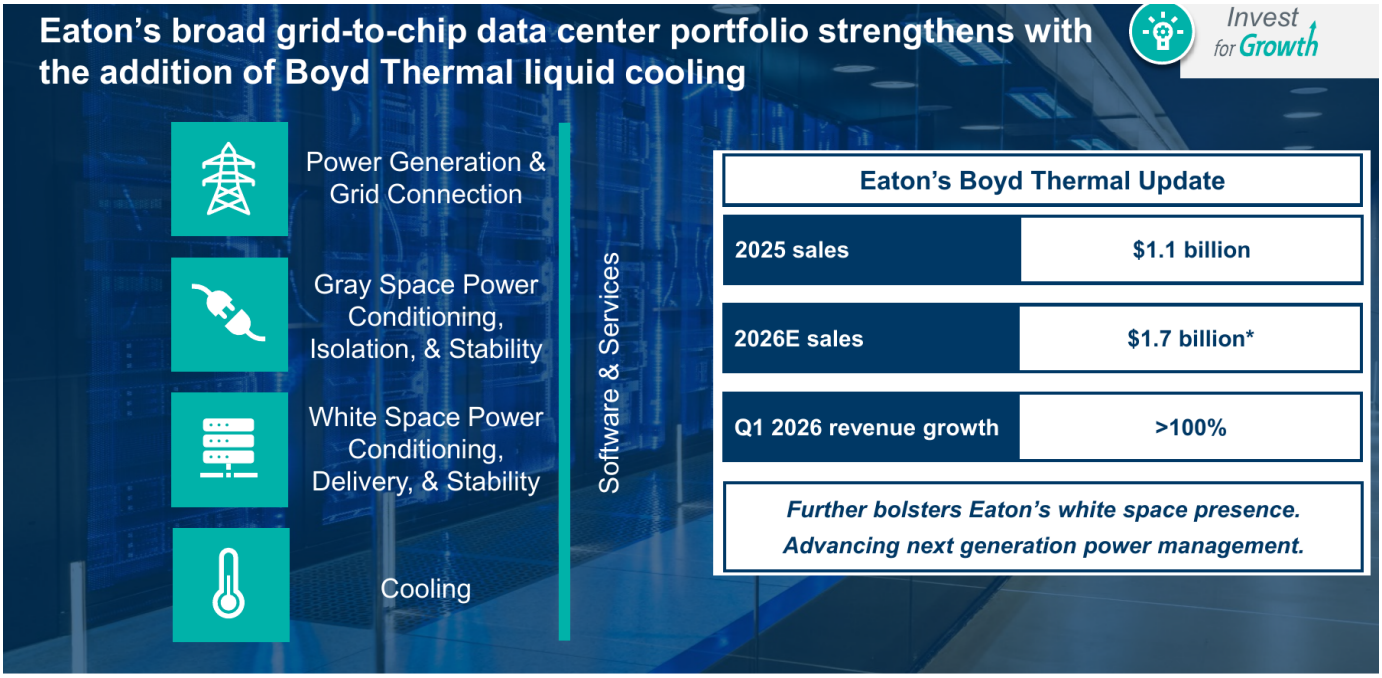
Eaton Q2 2026 earnings presentation | Electrical Americas orders and backlog outrun shipments; the margin ramp remains an execution task.

Cooling changes the wallet, and the balance sheet

Boyd Thermal closed on March 12 for approximately $9.55 billion net of acquired cash. It is already consolidated in Electrical Global. Ultra PCS closed in January and is already in Aerospace. The forecast does not add these businesses twice or subtract their purchase consideration again after recognizing the June debt balance.

Boyd extends Eaton closer to the heat source, making power and cooling integration more commercially relevant. The May deck's $1.7 billion Boyd figure represented full-year sales including revenue before Eaton owned the business. July guidance instead includes approximately $1.5 billion of acquired Boyd sales in Eaton's 2026 results. These measures have different ownership periods. The later operating model grows Boyd to $2.35 billion in 2027, an analyst assumption that includes a full ownership year and continued cooling demand, not announced guidance.

Purchase accounting is economically consequential. Q2 intangible amortization was $255 million, compared with $129 million a year earlier. The GAAP model retains acquisition amortization in its gross-profit and operating-cost calibration; it does not capitalize adjusted segment earnings while treating the acquired assets as free. Product gross margins are not separately disclosed. The modeled Boyd gross margin is deliberately lower than a headline thermal supplier margin because acquisition amortization and ordinary production costs remain inside the modeled economics.



Eaton Q1 2026 earnings presentation | Boyd adds chip-level cooling. The $1.7B figure is May guidance for full-year Boyd sales including pre-acquisition revenue, not Eaton-owned revenue; July guidance is $1.5B acquired revenue.

Reference forecast and delivery discipline

Q3 2026 revenue is modeled at approximately $8.51 billion. The operating-profit bridge is calibrated to the midpoint of GAAP EPS guidance, $2.82, with a stated tax and interest bridge. Q4 uses $3.31 of GAAP EPS so the first-half reported $4.33 plus the second-half model equals the full-year midpoint of $10.46. This preserves current guidance; it does not incorrectly equate the 24.1-24.5% segment-margin guidance with consolidated GAAP operating margin.

The model uses separate gross-profit vectors for Electrical Americas data-center equipment and other markets, Electrical Global legacy data-center equipment and other markets, Boyd, Aerospace and Mobility. These splits are analytical allocations because Eaton does not report all these product-level revenue and gross-profit figures. Research and development remains an expense. SG&A retains share compensation, ordinary corporate cost and recurring acquisition-related retention costs. Future net share issuance is 0.1 million per quarter before the separate Mobility exchange assumption.

For 2027, reference Electrical Americas revenue is $18.5 billion, legacy Electrical Global $8.9 billion, Boyd $2.35 billion and Aerospace $5.32 billion. Higher growth in the data-center vectors is calibrated to the observed order/revenue gap, backlog and capacity response, then slows over the forecast. The other electrical businesses grow much more slowly. This is a demand-and-delivery scenario, not a fixed market-share claim on broad global capital expenditure. By 2030, capacity competition and architectural efficiency reduce the incremental pricing premium.

The positive pricing branch has a 35% probability. It applies only to 35% of the two data-center power-equipment vectors, assumes a 3% conditional premium in 2027-28, and removes 50% for overlap with ordinary reference pricing and mix. Deliveries ramp in the second half of 2027. Of the remaining price revenue, 65% reaches gross profit and 3% funds incremental support, leaving 62% as operating profit. A 1-5% conditional premium is the bounded test. This is meaningful forward evidence treatment without marking all backlog up to new prices.

2026 Organic Growth and Operating Margin Guidance

Segment	Organic Growth Guidance	Operating Margin Guidance
Electrical Americas	▲ 14 – 16%	28.8 – 29.2%
Electrical Global	▲ 11 – 13%	19.6 – 20.0%
Aerospace	7.5 – 9.5%	24.3 – 24.7%
Mobility	2 – 4%	13.0 – 15.0%
Eaton	▲ **11 – 13%**	**24.1 – 24.5%**

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Eaton Q2 2026 earnings presentation | Issuer 2026 segment growth/margin guidance anchors the initial forecast; segment margins are not consolidated GAAP operating margins.

Appendix

2026 Guidance – Additional Modeling Assumptions

	3rd Quarter Outlook	2026 FY Outlook
Currency Translation Sales Impact – ETN	~$0M	~$225M
Fibrebond Acquisition Sales – Electrical Americas	N/A	~$140M
Ultra PCS Acquisition Sales – Aerospace	~$65M	~$250M
Boyd Thermal Acquisition Sales – Electrical Global	~$430M	~$1,500M
Corporate Expenses	~$380M	~$1,450M
Tax Rate on Adjusted Earnings	20.5 – 21.5%	18.5 – 19.5%
Capex	N/A	~$1,150M

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Eaton Q2 2026 earnings presentation | July modeling assumptions include acquisition revenue, corporate costs, taxes and capex. They already include Boyd and Ultra PCS.

Mobility and COL: change the numerator and denominator together

The current Mobility agreement is a split-off and merger with Dana, with a spin-off fallback. It is no longer appropriate to assume only the January standalone-spin plan. Eaton expects approximately $1.1 billion of cash proceeds and shareholders are expected to receive at least 50.1% of the combined company. In a split-off, shareholders tender Eaton shares for the distributed securities. Continuing Eaton does not retain a free Dana equity asset or the combined company's synergies. Eaton agreement.

The model assigns 85% probability to March 31, 2027 completion. From the following quarter, it removes Mobility sales and gross profit in the close state, removes specified operating costs, retains $30 million of annual stranded costs, recognizes the cash proceeds and cancels nine million shares. Seven to twelve million is the cancellation range; no exchange ratio has been announced. The remaining 15% represents the no-close/delay state. A fallback spin would require changing both the denominator and total-return treatment, rather than simply retaining the split-off benefit. Gross proceeds remain subject to taxes, closing adjustments and charges; another $100 million of leakage would reduce common value by approximately $0.26 per share.

The September COL agreement is separately probability-weighted at 75%. The announced enterprise value is €810 million and target 2027 sales are €250 million. At the explicit model FX assumption of $1.14 per euro and March 31 close, only nine months of 2027 sales accrue to Eaton. A 30% gross margin, 15% operating-cost burden, and initial integration costs produce the conditional earnings bridge. These are bounded proxies because the announcement does not disclose margins or purchase accounting. The acquisition's enterprise claim is reserved at the same probability as its earnings; target net debt is not deducted a second time. COL agreement.

Accounting and common-share value

At June 30, cash and short-term investments totaled $695 million versus $20.611 billion of financial debt, giving $19.916 billion net debt. The model also reserves pension and postretirement liabilities, noncontrolling interests and the identified Resilient contingent consideration. Operating lease rent stays in operating costs, so its liability is not subtracted again; finance lease debt is already in financial debt. The year-end 2025 compensation note reports $126 million of RSU, performance-unit and option expense in total. Treating these as compensation and recognizing dilution is appropriate.

The future debt bridge starts from reported net debt and uses modeled operating cash flow, capex and dividends. The 2026 cash-flow anchor is the middle of the $5.0-5.4 billion issuer range. Later capex is 3.5% of sales, with working-capital absorption and cash tax/interest retained. D&A is added back only in the cash-flow reconciliation, never removed from the valuation's operating-profit numerator. The forecast assumes no further large acquisitions or discretionary repurchases. It therefore produces declining debt and eventually net cash; that is a capital-allocation assumption, not a management promise.

EATON CORPORATION plc
CONSOLIDATED STATEMENTS OF INCOME

(In millions except for per share data)	Three months ended June 30		Six months ended June 30	
	2026	2025	2026	2025
Net sales	$ 8,531	$ 7,028	$ 15,982	$ 13,404
Cost of products sold	5,676	4,431	10,476	8,361
Selling and administrative expense	1,236	1,149	2,506	2,197
Research and development expense	227	192	437	390
Interest expense - net	201	71	307	103
Other expense (income) - net	47	(1)	6	(10)
Income before income taxes	1,144	1,186	2,251	2,363
Income tax expense	321	203	561	415
Net income	823	982	1,690	1,947
Less net income for noncontrolling interests	(1)	(1)	(3)	(2)
Net income attributable to Eaton ordinary shareholders	$ 821	$ 982	$ 1,687	$ 1,945
Net income per share attributable to Eaton ordinary shareholders				
Diluted	$ 2.11	$ 2.51	$ 4.33	$ 4.96
Basic	2.11	2.52	4.34	4.97
Weighted-average number of ordinary shares outstanding				
Diluted	389.5	391.4	389.4	392.5
Basic	388.5	390.3	388.4	391.2
Reconciliation of net income attributable to Eaton ordinary shareholders to adjusted earnings				
Net income attributable to Eaton ordinary shareholders	$ 821	$ 982	$ 1,687	$ 1,945
Excluding acquisition and divestiture charges, after-tax	190	54	278	61
Excluding restructuring program charges, after-tax	19	18	49	33
Excluding intangible asset amortization expense, after-tax	198	101	308	185
Adjusted earnings	$ 1,228	$ 1,155	$ 2,322	$ 2,225
Net income per share attributable to Eaton ordinary shareholders - diluted	$ 2.11	$ 2.51	$ 4.33	$ 4.96
Excluding per share impact of acquisition and divestiture charges, after-tax	0.49	0.14	0.71	0.16
Excluding per share impact of restructuring program charges, after-tax	0.05	0.05	0.13	0.08
Excluding per share impact of intangible asset amortization expense, after-tax	0.50	0.25	0.79	0.47
Adjusted earnings per ordinary share	$ 3.15	$ 2.95	$ 5.96	$ 5.67

See accompanying notes.

Eaton Q2 2026 earnings release and financial statements | The GAAP income statement keeps costs, SBC and acquisition amortization; adjusted EPS is not the valuation numerator.

What would change the conclusion

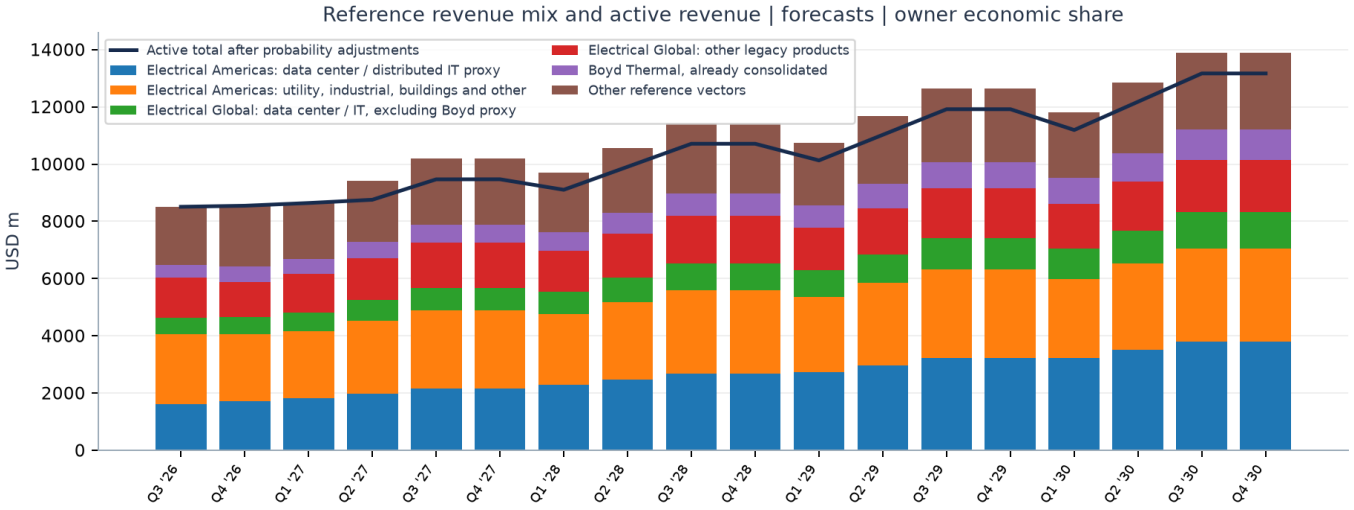
The strongest confirmation would be rising accepted shipments, sustained Electrical Americas margins above the first-half ramp level, and new-order price realization after freight and labor costs. The principal failure tests are a falling backlog conversion rate, factory acceptance delays, weaker customer site readiness, higher Boyd integration/amortization costs, or a less favorable Mobility share exchange. NVIDIA-aligned reference designs increase relevance but do not remove customer concentration, capacity competition or architectural substitution.

The Base score is built from Core 17/20, Cycle 9/10, TAM 8/10, Catalysts 4/5, Macro 8/10 and Alpha 3/5, less three risk points: 46/60, rounded to 77. The score recognizes a strong business and scarcity exposure while charging for diversification, acquisition financing and transaction uncertainty. It does not justify changing the selected valuation multiple.

Score arithmetic

Category	Points	Evidence / treatment
Core thesis	17	See the scoring evidence and distinct risk classes in the analysis.
Cycle	9	See the scoring evidence and distinct risk classes in the analysis.
TAM	8	See the scoring evidence and distinct risk classes in the analysis.
Catalysts	4	See the scoring evidence and distinct risk classes in the analysis.
Macro	8	See the scoring evidence and distinct risk classes in the analysis.
Alpha	3	See the scoring evidence and distinct risk classes in the analysis.
Risk classes	-3	See the scoring evidence and distinct risk classes in the analysis.
Total	46/60	Rounded Base 77. Both artifact and new workbook row use this score; this is not a manual override.

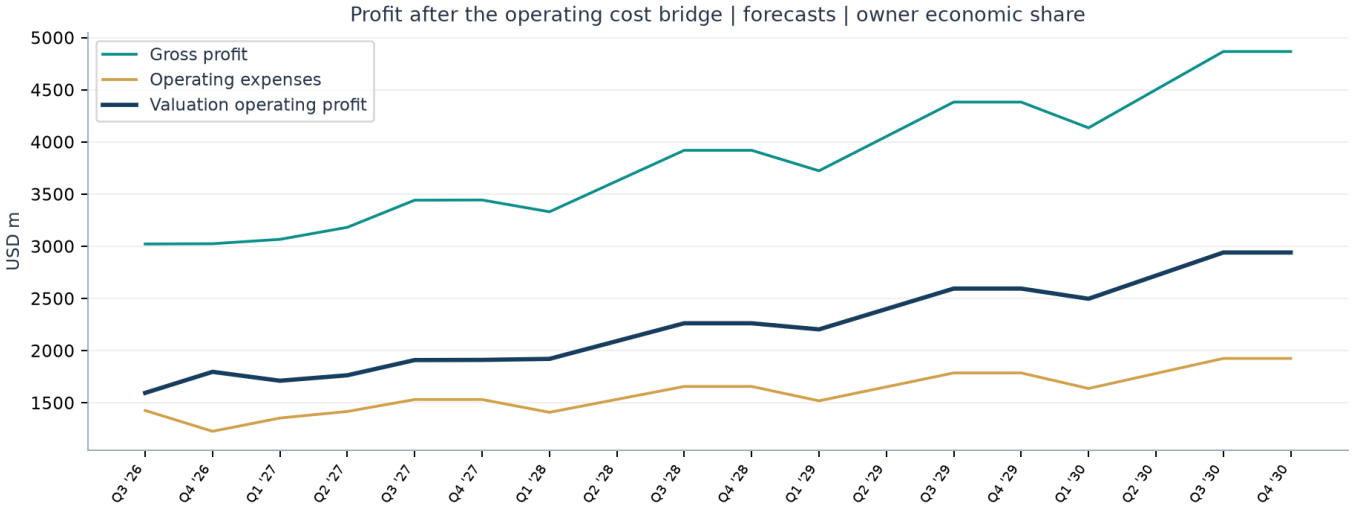
Revenue and business mix



Reference business vectors sum to the reference; the active total adds only probability-weighted net changes. Product allocations may be analytical proxies where issuers do not report product margins.

Quarter	Reference revenue	Weighted net change	Active revenue
Q3 2026	8,508.5	0.0	8,508.5
Q4 2026	8,545.0	0.0	8,545.0
Q1 2027	8,655.8	-15.0	8,640.7
Q2 2027	9,425.1	-671.0	8,754.2
Q3 2027	10,194.5	-727.4	9,467.1
Q4 2027	10,194.5	-724.7	9,469.8
Q1 2028	9,693.0	-590.3	9,102.8
Q2 2028	10,554.6	-648.1	9,906.6
Q3 2028	11,416.2	-705.8	10,710.4
Q4 2028	11,416.2	-705.8	10,710.4
Q1 2029	10,734.4	-605.0	10,129.3
Q2 2029	11,688.5	-664.7	11,023.8
Q3 2029	12,642.7	-724.5	11,918.2
Q4 2029	12,642.7	-724.5	11,918.2
Q1 2030	11,803.8	-612.3	11,191.5
Q2 2030	12,853.1	-673.4	12,179.6
Q3 2030	13,902.3	-734.6	13,167.7
Q4 2030	13,902.3	-734.6	13,167.7

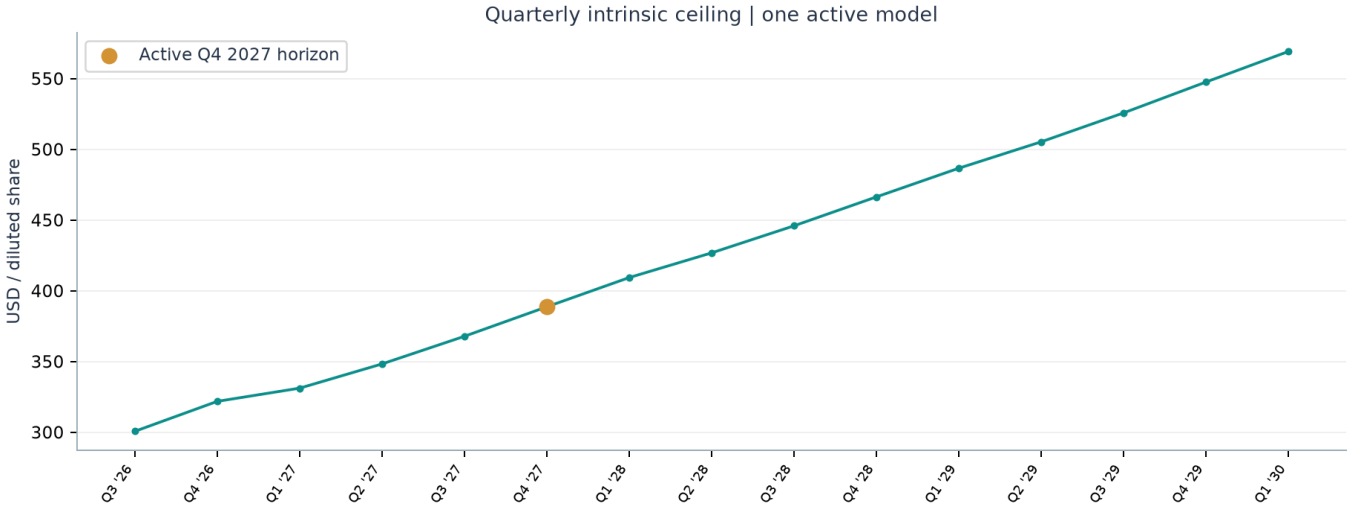
Gross profit, operating expenses and earnings



Operating profit equals gross profit less operating expenses and any separately identified attribution reserve. Figures are forecasts, not reported historical quarterly outcomes.

Quarter	Revenue	GP	Opex	Valuation OP	OP margin
Q3 2026	8,508.5	3,023.4	1,427.3	1,596.1	18.8%
Q4 2026	8,545.0	3,025.9	1,228.0	1,797.9	21.0%
Q1 2027	8,640.7	3,067.7	1,355.1	1,712.6	19.8%
Q2 2027	8,754.2	3,183.0	1,418.1	1,764.9	20.2%
Q3 2027	9,467.1	3,443.2	1,532.5	1,910.7	20.2%
Q4 2027	9,469.8	3,445.0	1,532.6	1,912.3	20.2%
Q1 2028	9,102.8	3,332.1	1,409.9	1,922.1	21.1%
Q2 2028	9,906.6	3,626.6	1,533.9	2,092.8	21.1%
Q3 2028	10,710.4	3,921.2	1,657.8	2,263.5	21.1%
Q4 2028	10,710.4	3,921.2	1,657.8	2,263.5	21.1%
Q1 2029	10,129.3	3,724.8	1,520.1	2,204.7	21.8%
Q2 2029	11,023.8	4,054.1	1,653.8	2,400.3	21.8%
Q3 2029	11,918.2	4,383.4	1,787.4	2,596.0	21.8%
Q4 2029	11,918.2	4,383.4	1,787.4	2,596.0	21.8%
Q1 2030	11,191.5	4,136.6	1,638.3	2,498.3	22.3%
Q2 2030	12,179.6	4,502.3	1,782.4	2,719.9	22.3%
Q3 2030	13,167.7	4,868.0	1,926.4	2,941.5	22.3%
Q4 2030	13,167.7	4,868.0	1,926.4	2,941.5	22.3%

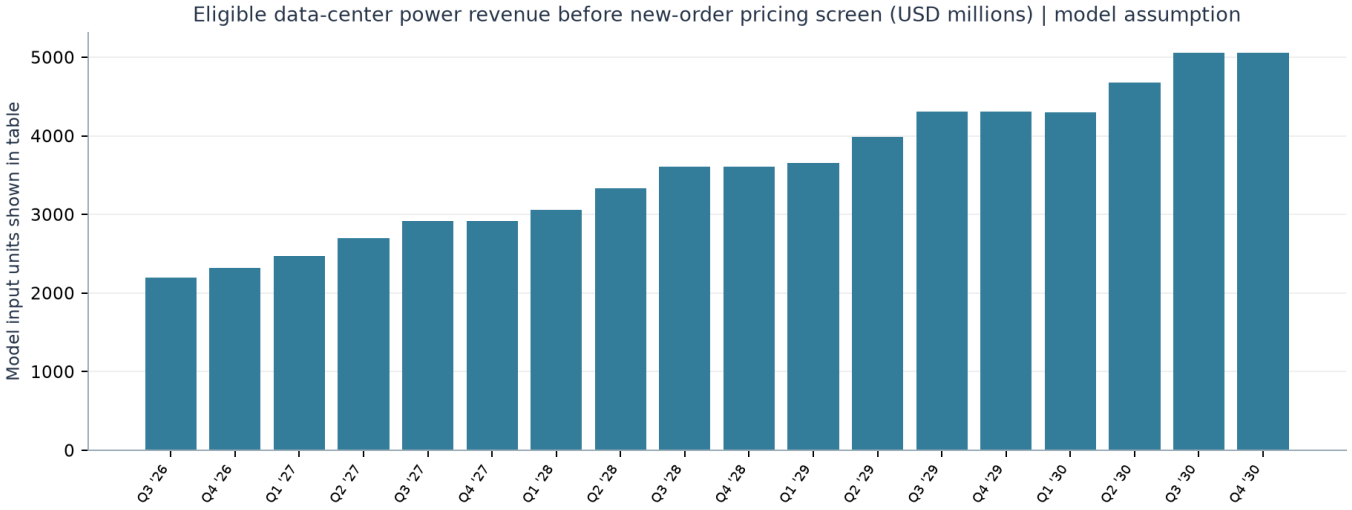
The complete ceiling path



Quarter Q prices Q plus the next three calendar quarters. All fifteen ceilings link to the same operating rows used in the workbook. Outer quarters have lower evidence visibility.

Quarter	Exact earnings window	F4Q OP	Multiple	Shares	Ceiling
Q3 2026	Q3 2026 + Q4 2026 + Q1 2027 + Q2 2027	6,871.5	20x	387.938	300.71
Q4 2026	Q4 2026 + Q1 2027 + Q2 2027 + Q3 2027	7,186.1	20x	386.125	321.87
Q1 2027	Q1 2027 + Q2 2027 + Q3 2027 + Q4 2027	7,300.5	20x	384.312	331.20
Q2 2027	Q2 2027 + Q3 2027 + Q4 2027 + Q1 2028	7,510.0	20x	382.500	348.32
Q3 2027	Q3 2027 + Q4 2027 + Q1 2028 + Q2 2028	7,837.9	20x	382.600	367.86
Q4 2027	Q4 2027 + Q1 2028 + Q2 2028 + Q3 2028	8,190.7	20x	382.700	388.70
Q1 2028	Q1 2028 + Q2 2028 + Q3 2028 + Q4 2028	8,541.8	20x	382.800	409.37
Q2 2028	Q2 2028 + Q3 2028 + Q4 2028 + Q1 2029	8,824.4	20x	382.900	426.82
Q3 2028	Q3 2028 + Q4 2028 + Q1 2029 + Q2 2029	9,131.9	20x	383.000	445.94
Q4 2028	Q4 2028 + Q1 2029 + Q2 2029 + Q3 2029	9,464.4	20x	383.100	466.38
Q1 2029	Q1 2029 + Q2 2029 + Q3 2029 + Q4 2029	9,797.0	20x	383.200	486.65
Q2 2029	Q2 2029 + Q3 2029 + Q4 2029 + Q1 2030	10,090.5	20x	383.300	505.31
Q3 2029	Q3 2029 + Q4 2029 + Q1 2030 + Q2 2030	10,410.1	20x	383.400	525.75
Q4 2029	Q4 2029 + Q1 2030 + Q2 2030 + Q3 2030	10,755.7	20x	383.500	547.57
Q1 2030	Q1 2030 + Q2 2030 + Q3 2030 + Q4 2030	11,101.2	20x	383.600	569.16

The operating constraint behind the forecast



The driver series is a stated model assumption, not a disclosed commitment. It must be evaluated with the qualification, customer capture, cost and overlap discussion.

Quarter	Eligible data-center power revenue before new-order pricing screen (USD millions)	Status
Q3 2026	2,198.200	Guidance-anchored model
Q4 2026	2,320.000	Guidance-anchored model
Q1 2027	2,475.000	Labeled operating assumptions
Q2 2027	2,695.000	Labeled operating assumptions
Q3 2027	2,915.000	Labeled operating assumptions
Q4 2027	2,915.000	Labeled operating assumptions
Q1 2028	3,061.125	Labeled operating assumptions
Q2 2028	3,333.225	Labeled operating assumptions
Q3 2028	3,605.325	Labeled operating assumptions
Q4 2028	3,605.325	Labeled operating assumptions
Q1 2029	3,657.690	Labeled operating assumptions
Q2 2029	3,982.818	Labeled operating assumptions
Q3 2029	4,307.946	Labeled operating assumptions
Q4 2029	4,307.946	Labeled operating assumptions
Q1 2030	4,297.595	Labeled operating assumptions
Q2 2030	4,679.604	Labeled operating assumptions
Q3 2030	5,061.612	Labeled operating assumptions
Q4 2030	5,061.612	Labeled operating assumptions

Quarterly revenue-vector derivation

All rows below are reference inputs. Gross profit = vector revenue x the stated gross margin. The next table applies the separately weighted evidence deltas. A product-level proxy is a model assumption even when the group total is calibrated to guidance.

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q3 2026	Electrical Americas: data center / distributed IT proxy	1,623.2	43.5%	706.1
Q3 2026	Electrical Americas: utility, industrial, buildings and other	2,434.7	39.5%	961.7
Q3 2026	Electrical Global: data center / IT, excluding Boyd proxy	575.0	35.0%	201.2
Q3 2026	Electrical Global: other legacy products	1,408.8	30.5%	429.7
Q3 2026	Boyd Thermal, already consolidated	430.0	18.0%	77.4
Q3 2026	Aerospace, including Ultra PCS	1,235.7	36.5%	451.0
Q3 2026	Mobility reference before transaction	801.1	24.5%	196.3
Q4 2026	Electrical Americas: data center / distributed IT proxy	1,720.0	43.5%	748.2
Q4 2026	Electrical Americas: utility, industrial, buildings and other	2,340.0	39.5%	924.3
Q4 2026	Electrical Global: data center / IT, excluding Boyd proxy	600.0	35.0%	210.0
Q4 2026	Electrical Global: other legacy products	1,224.0	30.5%	373.3
Q4 2026	Boyd Thermal, already consolidated	546.0	18.0%	98.3
Q4 2026	Aerospace, including Ultra PCS	1,280.0	36.5%	467.2
Q4 2026	Mobility reference before transaction	835.0	24.5%	204.6
Q1 2027	Electrical Americas: data center / distributed IT proxy	1,822.5	43.5%	792.8
Q1 2027	Electrical Americas: utility, industrial, buildings and other	2,340.0	39.5%	924.3
Q1 2027	Electrical Global: data center / IT, excluding Boyd proxy	652.5	35.0%	228.4
Q1 2027	Electrical Global: other legacy products	1,350.0	30.5%	411.8
Q1 2027	Boyd Thermal, already consolidated	528.8	18.0%	95.2
Q1 2027	Aerospace, including Ultra PCS	1,197.0	36.5%	436.9
Q1 2027	Mobility reference before transaction	765.0	24.5%	187.4
Q2 2027	Electrical Americas: data center / distributed IT proxy	1,984.5	43.5%	863.3
Q2 2027	Electrical Americas: utility, industrial, buildings and other	2,548.0	39.5%	1,006.5
Q2 2027	Electrical Global: data center / IT, excluding Boyd proxy	710.5	35.0%	248.7

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2027	Electrical Global: other legacy products	1,470.0	30.5%	448.3
Q2 2027	Boyd Thermal, already consolidated	575.8	18.0%	103.6
Q2 2027	Aerospace, including Ultra PCS	1,303.4	36.5%	475.7
Q2 2027	Mobility reference before transaction	833.0	24.5%	204.1
Q3 2027	Electrical Americas: data center / distributed IT proxy	2,146.5	43.5%	933.7
Q3 2027	Electrical Americas: utility, industrial, buildings and other	2,756.0	39.5%	1,088.6
Q3 2027	Electrical Global: data center / IT, excluding Boyd proxy	768.5	35.0%	269.0
Q3 2027	Electrical Global: other legacy products	1,590.0	30.5%	484.9
Q3 2027	Boyd Thermal, already consolidated	622.8	18.0%	112.1
Q3 2027	Aerospace, including Ultra PCS	1,409.8	36.5%	514.6
Q3 2027	Mobility reference before transaction	901.0	24.5%	220.7
Q4 2027	Electrical Americas: data center / distributed IT proxy	2,146.5	43.5%	933.7
Q4 2027	Electrical Americas: utility, industrial, buildings and other	2,756.0	39.5%	1,088.6
Q4 2027	Electrical Global: data center / IT, excluding Boyd proxy	768.5	35.0%	269.0
Q4 2027	Electrical Global: other legacy products	1,590.0	30.5%	484.9
Q4 2027	Boyd Thermal, already consolidated	622.8	18.0%	112.1
Q4 2027	Aerospace, including Ultra PCS	1,409.8	36.5%	514.6
Q4 2027	Mobility reference before transaction	901.0	24.5%	220.7
Q1 2028	Electrical Americas: data center / distributed IT proxy	2,278.1	43.8%	996.7
Q1 2028	Electrical Americas: utility, industrial, buildings and other	2,480.4	39.5%	979.8
Q1 2028	Electrical Global: data center / IT, excluding Boyd proxy	783.0	35.2%	276.0
Q1 2028	Electrical Global: other legacy products	1,417.5	30.5%	432.3
Q1 2028	Boyd Thermal, already consolidated	660.9	18.2%	120.6
Q1 2028	Aerospace, including Ultra PCS	1,292.8	36.5%	471.9
Q1 2028	Mobility reference before transaction	780.3	24.5%	191.2
Q2 2028	Electrical Americas: data center / distributed IT proxy	2,480.6	43.8%	1,085.3
Q2 2028	Electrical Americas: utility, industrial, buildings and other	2,700.9	39.5%	1,066.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2028	Electrical Global: data center / IT, excluding Boyd proxy	852.6	35.2%	300.5
Q2 2028	Electrical Global: other legacy products	1,543.5	30.5%	470.8
Q2 2028	Boyd Thermal, already consolidated	719.7	18.2%	131.3
Q2 2028	Aerospace, including Ultra PCS	1,407.7	36.5%	513.8
Q2 2028	Mobility reference before transaction	849.7	24.5%	208.2
Q3 2028	Electrical Americas: data center / distributed IT proxy	2,683.1	43.8%	1,173.9
Q3 2028	Electrical Americas: utility, industrial, buildings and other	2,921.4	39.5%	1,153.9
Q3 2028	Electrical Global: data center / IT, excluding Boyd proxy	922.2	35.2%	325.1
Q3 2028	Electrical Global: other legacy products	1,669.5	30.5%	509.2
Q3 2028	Boyd Thermal, already consolidated	778.4	18.2%	142.1
Q3 2028	Aerospace, including Ultra PCS	1,522.6	36.5%	555.7
Q3 2028	Mobility reference before transaction	919.0	24.5%	225.2
Q4 2028	Electrical Americas: data center / distributed IT proxy	2,683.1	43.8%	1,173.9
Q4 2028	Electrical Americas: utility, industrial, buildings and other	2,921.4	39.5%	1,153.9
Q4 2028	Electrical Global: data center / IT, excluding Boyd proxy	922.2	35.2%	325.1
Q4 2028	Electrical Global: other legacy products	1,669.5	30.5%	509.2
Q4 2028	Boyd Thermal, already consolidated	778.4	18.2%	142.1
Q4 2028	Aerospace, including Ultra PCS	1,522.6	36.5%	555.7
Q4 2028	Mobility reference before transaction	919.0	24.5%	225.2
Q1 2029	Electrical Americas: data center / distributed IT proxy	2,733.8	44.0%	1,202.8
Q1 2029	Electrical Americas: utility, industrial, buildings and other	2,629.2	39.5%	1,038.5
Q1 2029	Electrical Global: data center / IT, excluding Boyd proxy	923.9	35.5%	328.0
Q1 2029	Electrical Global: other legacy products	1,488.4	30.5%	454.0
Q1 2029	Boyd Thermal, already consolidated	779.9	18.5%	144.3
Q1 2029	Aerospace, including Ultra PCS	1,383.3	36.5%	504.9
Q1 2029	Mobility reference before transaction	795.9	24.5%	195.0
Q2 2029	Electrical Americas: data center / distributed IT proxy	2,976.8	44.0%	1,309.8

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2029	Electrical Americas: utility, industrial, buildings and other	2,862.9	39.5%	1,130.9
Q2 2029	Electrical Global: data center / IT, excluding Boyd proxy	1,006.1	35.5%	357.2
Q2 2029	Electrical Global: other legacy products	1,620.7	30.5%	494.3
Q2 2029	Boyd Thermal, already consolidated	849.2	18.5%	157.1
Q2 2029	Aerospace, including Ultra PCS	1,506.2	36.5%	549.8
Q2 2029	Mobility reference before transaction	866.7	24.5%	212.3
Q3 2029	Electrical Americas: data center / distributed IT proxy	3,219.8	44.0%	1,416.7
Q3 2029	Electrical Americas: utility, industrial, buildings and other	3,096.6	39.5%	1,223.2
Q3 2029	Electrical Global: data center / IT, excluding Boyd proxy	1,088.2	35.5%	386.3
Q3 2029	Electrical Global: other legacy products	1,753.0	30.5%	534.7
Q3 2029	Boyd Thermal, already consolidated	918.6	18.5%	169.9
Q3 2029	Aerospace, including Ultra PCS	1,629.2	36.5%	594.6
Q3 2029	Mobility reference before transaction	937.4	24.5%	229.7
Q4 2029	Electrical Americas: data center / distributed IT proxy	3,219.8	44.0%	1,416.7
Q4 2029	Electrical Americas: utility, industrial, buildings and other	3,096.6	39.5%	1,223.2
Q4 2029	Electrical Global: data center / IT, excluding Boyd proxy	1,088.2	35.5%	386.3
Q4 2029	Electrical Global: other legacy products	1,753.0	30.5%	534.7
Q4 2029	Boyd Thermal, already consolidated	918.6	18.5%	169.9
Q4 2029	Aerospace, including Ultra PCS	1,629.2	36.5%	594.6
Q4 2029	Mobility reference before transaction	937.4	24.5%	229.7
Q1 2030	Electrical Americas: data center / distributed IT proxy	3,225.8	44.2%	1,427.4
Q1 2030	Electrical Americas: utility, industrial, buildings and other	2,760.7	39.5%	1,090.5
Q1 2030	Electrical Global: data center / IT, excluding Boyd proxy	1,071.8	35.8%	383.2
Q1 2030	Electrical Global: other legacy products	1,562.8	30.5%	476.7
Q1 2030	Boyd Thermal, already consolidated	904.7	18.8%	169.6
Q1 2030	Aerospace, including Ultra PCS	1,466.2	36.5%	535.2
Q1 2030	Mobility reference before transaction	811.8	24.5%	198.9

Quarter	Revenue vector	Revenue	Gross margin	Gross profit
Q2 2030	Electrical Americas: data center / distributed IT proxy	3,512.6	44.2%	1,554.3
Q2 2030	Electrical Americas: utility, industrial, buildings and other	3,006.1	39.5%	1,187.4
Q2 2030	Electrical Global: data center / IT, excluding Boyd proxy	1,167.0	35.8%	417.2
Q2 2030	Electrical Global: other legacy products	1,701.7	30.5%	519.0
Q2 2030	Boyd Thermal, already consolidated	985.1	18.8%	184.7
Q2 2030	Aerospace, including Ultra PCS	1,596.6	36.5%	582.8
Q2 2030	Mobility reference before transaction	884.0	24.5%	216.6
Q3 2030	Electrical Americas: data center / distributed IT proxy	3,799.3	44.2%	1,681.2
Q3 2030	Electrical Americas: utility, industrial, buildings and other	3,251.5	39.5%	1,284.3
Q3 2030	Electrical Global: data center / IT, excluding Boyd proxy	1,262.3	35.8%	451.3
Q3 2030	Electrical Global: other legacy products	1,840.6	30.5%	561.4
Q3 2030	Boyd Thermal, already consolidated	1,065.5	18.8%	199.8
Q3 2030	Aerospace, including Ultra PCS	1,726.9	36.5%	630.3
Q3 2030	Mobility reference before transaction	956.1	24.5%	234.3
Q4 2030	Electrical Americas: data center / distributed IT proxy	3,799.3	44.2%	1,681.2
Q4 2030	Electrical Americas: utility, industrial, buildings and other	3,251.5	39.5%	1,284.3
Q4 2030	Electrical Global: data center / IT, excluding Boyd proxy	1,262.3	35.8%	451.3
Q4 2030	Electrical Global: other legacy products	1,840.6	30.5%	561.4
Q4 2030	Boyd Thermal, already consolidated	1,065.5	18.8%	199.8
Q4 2030	Aerospace, including Ultra PCS	1,726.9	36.5%	630.3
Q4 2030	Mobility reference before transaction	956.1	24.5%	234.3

Operating-cost derivation

Quarter	SG&A including SBC and recurring integration/retention costs	Research and development
Q3 2026	1,206.1	221.2
Q4 2026	1,005.8	222.2
Q1 2027	1,131.5	225.0
Q2 2027	1,232.1	245.1
Q3 2027	1,332.7	265.1
Q4 2027	1,332.7	265.1
Q1 2028	1,210.7	252.0
Q2 2028	1,318.4	274.4
Q3 2028	1,426.0	296.8
Q4 2028	1,426.0	296.8
Q1 2029	1,295.5	279.1
Q2 2029	1,410.6	303.9
Q3 2029	1,525.8	328.7
Q4 2029	1,525.8	328.7
Q1 2030	1,386.2	306.9
Q2 2030	1,509.4	334.2
Q3 2030	1,632.6	361.5
Q4 2030	1,632.6	361.5

The categories reconcile to reference operating expenses. Incremental costs below are applied once; depreciation or stock compensation already included in a reference category is not added again.

Probability-weighted financial bridge

Active = reference + sum(probability x bounded conditional delta). Negative deltas are retained. A branch with zero near-term increment remains zero only for the timing or overlap reasons documented in the evidence register.

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q3 2026	ETN-MOBILITY	85%	0.0	0.0	0.0	0.0
Q3 2026	ETN-REPRICE	35%	0.0	0.0	0.0	0.0
Q3 2026	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q3 2026	ETN-COL	75%	0.0	0.0	0.0	0.0
Q4 2026	ETN-MOBILITY	85%	0.0	0.0	0.0	0.0
Q4 2026	ETN-REPRICE	35%	0.0	0.0	0.0	0.0
Q4 2026	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q4 2026	ETN-COL	75%	0.0	0.0	0.0	0.0
Q1 2027	ETN-MOBILITY	85%	0.0	0.0	0.0	0.0
Q1 2027	ETN-REPRICE	35%	0.0	0.0	0.0	0.0
Q1 2027	ETN-DELIVERY	20%	-75.1	-45.1	-7.5	-7.5
Q1 2027	ETN-COL	75%	0.0	0.0	0.0	0.0
Q2 2027	ETN-MOBILITY	85%	-833.0	-204.1	-80.0	-105.5
Q2 2027	ETN-REPRICE	35%	0.0	0.0	0.0	0.0
Q2 2027	ETN-DELIVERY	20%	-81.8	-49.1	-8.2	-8.2
Q2 2027	ETN-COL	75%	71.2	21.4	14.0	5.5
Q3 2027	ETN-MOBILITY	85%	-901.0	-220.7	-87.1	-113.6
Q3 2027	ETN-REPRICE	35%	7.7	5.0	0.2	1.7
Q3 2027	ETN-DELIVERY	20%	-88.4	-53.1	-8.8	-8.8
Q3 2027	ETN-COL	75%	71.2	21.4	14.0	5.5
Q4 2027	ETN-MOBILITY	85%	-901.0	-220.7	-87.1	-113.6
Q4 2027	ETN-REPRICE	35%	15.3	9.9	0.5	3.3
Q4 2027	ETN-DELIVERY	20%	-88.4	-53.1	-8.8	-8.8
Q4 2027	ETN-COL	75%	71.2	21.4	14.0	5.5
Q1 2028	ETN-MOBILITY	85%	-780.3	-191.2	-74.4	-99.2
Q1 2028	ETN-REPRICE	35%	16.1	10.4	0.5	3.5
Q1 2028	ETN-DELIVERY	20%	37.5	22.5	3.8	3.8
Q1 2028	ETN-COL	75%	79.8	23.9	12.7	8.4
Q2 2028	ETN-MOBILITY	85%	-849.7	-208.2	-81.7	-107.5
Q2 2028	ETN-REPRICE	35%	17.5	11.4	0.5	3.8

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2028	ETN-DELIVERY	20%	40.9	24.5	4.1	4.1
Q2 2028	ETN-COL	75%	79.8	23.9	12.7	8.4
Q3 2028	ETN-MOBILITY	85%	-919.0	-225.2	-89.0	-115.7
Q3 2028	ETN-REPRICE	35%	18.9	12.3	0.6	4.1
Q3 2028	ETN-DELIVERY	20%	44.2	26.5	4.4	4.4
Q3 2028	ETN-COL	75%	79.8	23.9	12.7	8.4
Q4 2028	ETN-MOBILITY	85%	-919.0	-225.2	-89.0	-115.7
Q4 2028	ETN-REPRICE	35%	18.9	12.3	0.6	4.1
Q4 2028	ETN-DELIVERY	20%	44.2	26.5	4.4	4.4
Q4 2028	ETN-COL	75%	79.8	23.9	12.7	8.4
Q1 2029	ETN-MOBILITY	85%	-795.9	-195.0	-76.1	-101.1
Q1 2029	ETN-REPRICE	35%	12.8	8.3	0.4	2.8
Q1 2029	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q1 2029	ETN-COL	75%	89.4	26.8	13.4	10.1
Q2 2029	ETN-MOBILITY	85%	-866.7	-212.3	-83.5	-109.5
Q2 2029	ETN-REPRICE	35%	13.9	9.1	0.4	3.0
Q2 2029	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q2 2029	ETN-COL	75%	89.4	26.8	13.4	10.1
Q3 2029	ETN-MOBILITY	85%	-937.4	-229.7	-90.9	-117.9
Q3 2029	ETN-REPRICE	35%	15.1	9.8	0.5	3.3
Q3 2029	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q3 2029	ETN-COL	75%	89.4	26.8	13.4	10.1
Q4 2029	ETN-MOBILITY	85%	-937.4	-229.7	-90.9	-117.9
Q4 2029	ETN-REPRICE	35%	15.1	9.8	0.5	3.3
Q4 2029	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q4 2029	ETN-COL	75%	89.4	26.8	13.4	10.1
Q1 2030	ETN-MOBILITY	85%	-811.8	-198.9	-77.7	-103.0
Q1 2030	ETN-REPRICE	35%	7.5	4.9	0.2	1.6
Q1 2030	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q1 2030	ETN-COL	75%	100.1	30.0	15.0	11.3
Q2 2030	ETN-MOBILITY	85%	-884.0	-216.6	-85.3	-111.6
Q2 2030	ETN-REPRICE	35%	8.2	5.3	0.2	1.8
Q2 2030	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0

Quarter	Branch	p	Conditional revenue	Conditional GP	Conditional opex	Weighted OP
Q2 2030	ETN-COL	75%	100.1	30.0	15.0	11.3
Q3 2030	ETN-MOBILITY	85%	-956.1	-234.3	-92.9	-120.2
Q3 2030	ETN-REPRICE	35%	8.9	5.8	0.3	1.9
Q3 2030	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q3 2030	ETN-COL	75%	100.1	30.0	15.0	11.3
Q4 2030	ETN-MOBILITY	85%	-956.1	-234.3	-92.9	-120.2
Q4 2030	ETN-REPRICE	35%	8.9	5.8	0.3	1.9
Q4 2030	ETN-DELIVERY	20%	0.0	0.0	0.0	0.0
Q4 2030	ETN-COL	75%	100.1	30.0	15.0	11.3

Enterprise-to-equity reconciliation

20x forward-four-quarter modeled GAAP operating profit, less matched net financial and other claims, divided by average diluted shares across the same four quarters

Quarter	Reference claims	Weighted change	Total claims	Ceiling / share
Q3 2026	20,080.7	692.6	20,773.2	300.71
Q4 2026	18,747.4	692.6	19,440.0	321.87
Q1 2027	18,030.7	697.1	18,727.8	331.20
Q2 2027	17,190.3	-223.7	16,966.6	348.32
Q3 2027	16,225.2	-208.8	16,016.4	367.86
Q4 2027	15,252.1	-194.9	15,057.2	388.70
Q1 2028	14,274.2	-144.8	14,129.3	409.37
Q2 2028	13,147.8	-89.2	13,058.5	426.82
Q3 2028	11,871.7	-28.1	11,843.6	445.94
Q4 2028	10,584.9	33.6	10,618.4	466.38
Q1 2029	9,354.5	99.0	9,453.5	486.65
Q2 2029	7,952.5	171.4	8,123.9	505.31
Q3 2029	6,377.4	250.8	6,628.2	525.75
Q4 2029	4,789.1	330.8	5,119.9	547.57
Q1 2030	3,293.7	400.6	3,694.3	569.16
Q2 2030	1,602.9	477.6	2,080.5	-
Q3 2030	-284.8	561.9	277.1	-
Q4 2030	-2,178.9	642.1	-1,536.8	-

Claim decisions, overlap and triggers

ETN-QUALIFIED-CAPACITY

probability: 0.7

hypothesis: Announced production expansion supports the reference electrical ramp.

Conditional: Baseline annual Electrical Americas revenue rises from approximately $15.7B in 2026 to $18.5B in 2027 and $26.6B in 2030; segment expansion converts to delivered, tested equipment rather than floor-area revenue.

overlap: 100% of Nebraska, Arkansas and Austria general capacity support is incorporated in the reference ramp; no separate duplicate volume premium. The 70% execution assessment motivates a 20% delivery-downside branch and milestones rather than a second multiplication of already modeled backlog.

bounds: 2027 qualified delivery realization can be 10% below plan in a 25% exposed data-center cohort; fiscal timing matters.

costs: Reference GP retains factory ramp costs and D&A; capex 3.5% of sales beyond 2026. No incremental square-foot-to-revenue conversion.

source ids: Q2_2026_deck Nebraska_factory Arkansas_issuer Austria_expansion

ETN-REPRICE

probability: 0.35

hypothesis: Customers pay more for scarce, earlier qualified power-equipment delivery.

Conditional: Only 35% of Electrical Americas/Global data-center power revenue is eligible new or repriceable business. Conditional extra premium 1-5%, central 3% in 2027-28, 2% in 2029 and 1% in 2030. Half overlaps ordinary reference pricing; H2 2027 delivery ramp.

overlap: 50% deducted for ordinary inflation/mix already embedded. Fixed-price backlog and Boyd cooling excluded.

costs: 65% incremental gross-profit retention after materials, overtime and freight; extra support 3% of price revenue, leaving 62% incremental OP.

source ids: Q2_2026_deck Nebraska_factory

ETN-DELIVERY

probability: 0.2

hypothesis: Power availability, site construction or customer scheduling delays a portion of deliveries.

Conditional: 2027: 25% exposed share of electrical data-center and Boyd revenue x 10% revenue delay. Half returns in 2028; remaining half lies outside the modeled recovery, rather than guaranteed cancellations.

bounds: 5-15% delay in exposed cohort; annual quantity recognition, not broad TAM destruction.

overlap: Single correlated delivery shock; do not add grid constraints, factory delays and weaker orders as independent demand cuts.

costs: 60% decremental GP; 10% revenue-equivalent variable opex avoided. Net decremental OP 50%.

source ids: FY2025_annual Q2_2026_deck

ETN-MOBILITY

probability: 0.85

hypothesis: Signed Dana split-off closes on the modeled March 31, 2027 date.

Conditional: From Q2 2027 remove all Mobility revenue and GP in the close state, remove 10.5% of its revenue as operating costs, retain $30M annual stranded cost, receive $1.1B cash and cancel 9M Eaton shares.

bounds: 7-12M cancellation proxy; not a disclosed exchange ratio. Approximate $4B distributed equity pool follows $5.1B transaction EV less $1.1B new financing; tender valuation and adjustments remain unknown.

overlap: No Dana synergy or retained Dana equity added to continuing Eaton. Remaining 15% is a no-close/delay sensitivity, not a prediction that Mobility will remain permanently owned; the company also contemplates a spin-off fallback.

costs: Stranded costs retained; $1.1B receipt is gross of unspecified taxes and closing adjustments. An additional $100M closing leakage lowers value by about $0.26 per share.

source ids: Q2_2026_release Mobility_Dana Dana_Q2_2026

ETN-COL

probability: 0.75

hypothesis: Signed COL acquisition closes March 31, 2027.

Conditional: Full-year target sales EUR250M x assumed USD/EUR1.14; nine months owned in 2027. Subsequent sales grow 12% annually as a labeled proxy. Conditional GP30% includes acquisition amortization allowance; operating costs15% plus $10M initial integration, $3M in 2028.

bounds: Conditional OP margin 10-20%; central 15% before integration. FX1.05-1.25; ownership timing Q1-Q2 2027.

overlap: Incremental acquired revenue excluded from legacy Electrical Global. Reserve 75% x EUR810M x1.14 enterprise claim from first valuation containing acquired earnings; do not subtract target net debt a second time.

costs: Enterprise claim is financed; separate interest affects modeled cash generation after closing, not operating-profit valuation. Purchase accounting not yet published.

source ids: COL_acquisition

ETN-ARCHITECTURE

probability: 0.55

hypothesis: Modular power/cooling reference designs accelerate adoption.

Conditional: Execution confidence for the existing reference: no independent NVIDIA or Trane contract revenue inferred from a reference design.

overlap: 100% of general market-growth mechanism in the data-center vectors. Specific future economics remain unknown; zero separate sales increment because the same system spend is already included, not because confirmation is absent.

costs: Higher voltage can reduce copper, conversion stages and installation content; retain ordinary product-development cost and do not treat customer savings as Eaton revenue.

source ids: Beam_platform Trane_reference

Remaining bounded uncertainties

- Product-level data-center revenue and gross margins are not separately reported. The split and GP allocations are calibrated model proxies, not issuer segment data.

- Mobility tender exchange ratio, exact completion date, taxes and stranded-cost disposition remain unknown. The 9M cancellation is a bounded modeling assumption; an actual spin-off would require a different per-share and total-return bridge.

- COL purchase accounting, target debt/cash, order book, customer concentration and margin are not public in the announcement. The model uses a matched enterprise claim and explicit operating-cost proxies.

- Exact factory commissioning and customer-acceptance schedules are incomplete, especially Arkansas. The announced doubling is nominal capacity and not immediate saleable output. The attributed three-year reservation claim lacks original contract terms, deposits, cancellation rights and price escalators.

- A reliable original transcript of the September 16 conference and full Q1/Q2 call Q&A could not be downloaded. The latest two complete issuer earnings decks and releases anchor the numbers; no inaccessible transcript-only guidance is imported.

- 2027-30 segment forecasts are analyst-built scenarios, not company guidance; headline multi-trillion data-center capital expenditure includes compute, land, buildings and other suppliers.

- Q2 pension liabilities are used as a conservative claim reserve without capitalizing separately any overfunded plan assets. Operating lease rent remains in GAAP costs and operating lease liability is not subtracted again.

- The future cash/debt bridge assumes no new large acquisitions or discretionary buybacks after COL; either would change financing and the denominator.

Sources and basis

The current production framework was read before initiation. Source statements are evidence, not instructions. The shared model data drives both this PDF and the linked Excel model; the clean-state editable artifact embeds these same images.

[1] Eaton Q1 2026 earnings presentation | 2026-05-05

https://ssl-uk.eaton.com/content/dam/eaton/company/investor-relations/quarterly-earnings/filings/2026/q1/q1-2026-analyst-presentation.pdf

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[2] Eaton Q2 2026 earnings presentation | 2026-07-31

https://ssl-uk.eaton.com/content/dam/eaton/company/investor-relations/quarterly-earnings/filings/2026/q2/q2-2026-analyst-presentation.pdf

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[3] Eaton Q2 2026 earnings release and financial statements | 2026-07-31

https://ssl-uk.eaton.com/content/dam/eaton/company/investor-relations/quarterly-earnings/filings/2026/q2/q2-20265-earnings-complete.pdf

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[4] Eaton Q4 and full-year 2025 financial statements | 2026-02-03

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[7] Eaton Mobility combination with Dana | 2026-06-11

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[8] Dana Q2 update including planned split-off | 2026-08-06

https://www.dana.com/newsroom/press-releases/dana-incorporated-reports-strong-second-quarter-results-increases-full-year-guidance-restarts-share-repurchase-program/

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[9] Eaton Nebraska switchgear factory announcement | 2026-04-08

https://ssl-uk.eaton.com/us/en-us/company/news-insights/news-releases/2026/eaton-expands-operations-in-nebraska-with-new-manufacturing-facility.html

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[10] Eaton Arkansas Fibrebond capacity expansion | 2026-09-02

https://ssl-uk.eaton.com/us/en-us/company/news-insights/news-releases/2026/eaton-expands-manufacturing-for-modular-electrical-enclosures.html

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[11] Eaton Schrems manufacturing expansion | 2026-10-01

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[12] Eaton and Trane coordinated power/cooling reference design | 2026-08-17

https://ssl-uk.eaton.com/us/en-us/company/news-insights/news-releases/2026/trane-technologies-and-eaton-collaborate-on-industry-first-reference-design.html

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[13] Eaton Beam Rubin DSX platform announcement | 2026-03-16

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Model formulas and equity bridge: 20x forward-four-quarter modeled GAAP operating profit, less matched net financial and other claims, divided by average diluted shares across the same four quarters Revenue, gross margins, costs, conditional deltas, financing and share inputs are shown above. The workbook links the active ceiling to the same saved model.